of Indian workers are employed – whose higher earnings made higher transfers possible to India), and

(ii) the depreciation in rupee currency in the latter half of 2011.

10. **Systems of Economy & Polity:** The global economic crisis opened afresh the debate on the relative *role of the market and the state* as also the relative advantages of democratic versus state-led economies. The challenge of managing a mixed economy within a democratic and federal system is a complex task. However, the challenge of transiting from a state-led monolith to a more representative system may be even more daunting. In either case, for a system to thrive, economic outcomes need to be tangible. The ***critical question*** is therefore not of state versus markets but, rather, of how to maximise market outcomes (minimise market failures) and have effective governance (i.e. minimise government failure) with a democratic system as the political basis for governance.

Presently, India enjoys the unique advantage of having **multiple drivers of growth**. These are *demographic, investment (backed by domestic savings), domestic consumption,* as well as *exports* and ample *scope for FDI*, all of which are within a *pluralistic* and democratic system . This unique combination more or less assures it of strong and sustained growth. But this assurance comes with a very challenging socio-economic rider. Its vibrating pluralistic polity makes it utterly necessary to achieve/deliver positive economic outcomes in tangible way at every stage and to every section of society[25].

THE PATH TO REVIVAL

The proximate **causes** for the global financial crisis (that reached a flash point in October 2008 with the collapse of *Lehman Brothers*) have been all encompassing which may be summed-up[26] as given below:

(i) The loose monetary policies adopted by reserve currency-issuing advanced economies (particularly the US) in the run up to the crisis (at the macro level);